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19 UNITED STATES DISTRICT COURT
20 NORTHERN DISTRICT OF CALIFORNIA
21 SAN JOSE DIVISION

22 APPLE INC.,

23 Plaintiff,

24 vs.

25 CHANG LIU, TANG YEW TAN, OPENAI
FOUNDATION f/k/a OPENAI, INC.,
26 OPENAI GROUP PBC, and IO PRODUCTS,
LLC f/k/a IO PRODUCTS, INC.,

27 Defendants.
28

Case No. 5:26-CV-07078-EJD

**DEFENDANTS' MOTION TO DISMISS
APPLE INC.'S COMPLAINT**

Date: October 1, 2026 (Reserved)
Time: 9:00 a.m. P.T.
Courtroom: 4 - 5th Floor
Judge: The Hon. Edward J. Davila
Trial Date: None Set

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1 **I. INTRODUCTION**

2 Apple built its reputation by paying close attention to the smallest details. This lawsuit does
3 the opposite. Plainly filed without adequate investigation and built on selectively excerpted
4 communications and ordinary conduct stripped of context, Apple’s Complaint is—to borrow its own
5 phrase—“rotten to its core.”

- 6 • **Apple falsely portrays Tang Tan’s standard industry practices as trade secret**
7 **theft.** Mr. Tan is a respected industry veteran who spent 24 years helping Apple
8 design some of its most iconic products. Apple points to routine recruiting and
9 hardware-development activity—interviewing experienced candidates, discussing
10 technical work and components, communicating with suppliers, and helping new
11 employees understand departure procedures—but identifies no particular trade
12 secret disclosed to him, no confidential component he received, and no Apple
13 information he used at OpenAI. Mr. Tan repeatedly instructed recruits and his team
14 not to bring or disclose former employers’ confidential information. Apple’s effort
15 to recast legitimate professional activity as theft rests on speculation, not facts.
- 16 • **Apple falsely portrays Chang Liu’s efforts to assist his former colleagues as**
17 **unauthorized theft.** Apple alleges that Mr. Liu, a hardworking engineer, accessed
18 confidential information after leaving the company, but omits that Apple employees
19 repeatedly contacted *him*, asking for help locating information to assist *Apple’s*
20 *employees* in continuing the projects on which Mr. Liu had been working before his
21 departure. Nor does Apple disclose that, at its request, it remained logged into Liu’s
22 personal accounts long after his departure, to continue accessing files rather than
23 deleting them.
- 24 • **Apple omits the consequences of its own inexplicable information-management**
25 **practices.** For years, Apple encouraged employees to use personal iCloud accounts
26 for work, intermingling company and personal data, while failing to manage access
27 cleanly across multiple Apple systems when employees departed. Those practices
28 created precisely the confusion and unwanted access issues that Apple now
characterizes as intentional misappropriation. Apple cannot transform the
foreseeable consequences of its own systems and policies into evidence of theft by
former employees who were attempting to assist their colleagues and comply with
their obligations, or were simply not aware of their latent access.
- **Apple mischaracterizes its pre-suit communications with OpenAI.** Apple
claims it raised concerns in February and received no response. It omits that its
outside counsel emailed the wrong person after confusing two Asian last names, and
then incorrectly represented that it had spoken with OpenAI’s General Counsel.
After OpenAI reached out and Apple apologized, its outside lawyers stated that they
were “resolving any issues.” OpenAI heard nothing for five months; even in its
prior miscommunications, Apple never raised the specific allegations in this lawsuit
until they filed suit.

1 This, and other facts demonstrating that Apple’s claims are meritless, will be shown in
2 Defendants’ forthcoming response to Apple’s motion for preliminary injunction. But the Complaint
3 fails even on its own terms. To state a claim under the DTSA, Apple must plausibly allege that it
4 owns a sufficiently identified protectable trade secret, that a Defendant misappropriated it, and that
5 the misappropriation caused injury. Apple does not do so.

6 Instead of pleading facts showing misappropriation, Apple recasts the benign, lawful
7 conduct of former employees—who in many of the cited instances were in fact trying to *help* Apple,
8 at Apple’s request, by making sure their former colleagues’ work could continue without them—as
9 theft of so-called trade secrets. The proffered “trade secrets” are not specific, protectable
10 information at all; they are generic categories of the product-development process—such as
11 component manufacturing, product testing, vendor and supplier relationships, and distribution
12 channels—repackaged as though Apple had invented them. As Apple’s Complaint indicates,
13 information belonging to these categories is not secret, nor were reasonable efforts taken to maintain
14 secrecy; accordingly, Apple has failed to plead a protectable trade secret. Nor are OpenAI’s
15 recruiting practices and policies as alleged anything other than standard industry practices, all
16 entirely proper. None of Apple’s claims rests on a plausible theory of misappropriation. Apple’s
17 Complaint all but concedes as much: it pleads that it has “virtually no visibility” into the conduct it
18 complains of, but asks the Court to allow discovery to “expose” a violation that it cannot presently
19 describe. Dkt. 1 (“Compl”) ¶ 54.

20 OpenAI has no use, need or desire for Apple’s trade secrets. OpenAI is building something
21 entirely new and different from anything at Apple. OpenAI *does* have an interest in hiring the best
22 engineers, inventors, developers and creators—many of whom have decided to leave Apple and to
23 come to OpenAI, attracted by the innovative and exciting work the company is doing. Apple might
24 not like that. But California law and policy not only permit but encourage such employee mobility,
25 which has been credited with powering the tech revolution that has made companies based in this
26 state the envy of the world.

27 Apple should not be permitted to use a baseless and pretextual lawsuit to make up for its
28 shortcomings in the market for talent and retaining its employees, and its failures to integrate AI

1 into its products. Because Apple has failed to plead sufficient facts to support each element of trade
2 secret misappropriation asserted in its First, Second, Third, and Fourth Claims¹, and because there
3 is no diversity jurisdiction over Apple’s contract claims, the Complaint should be dismissed in its
4 entirety.

5 **II. LEGAL STANDARD**

6 To avoid dismissal, “a complaint must contain sufficient factual matter, accepted as true, to
7 state a claim to relief that is plausible on its face,” and “[t]hreadbare recitals of the elements of a
8 cause of action, supported by mere conclusory statements, do not suffice.” *Ashcroft v. Iqbal*, 556
9 U.S. 662, 678 (2009) (internal quotation omitted). “Although factual allegations are taken as true,
10 [courts] do not assume the truth of legal conclusions merely because they are cast in the form of
11 factual allegations.” *Fayer v. Vaughn*, 649 F.3d 1061, 1064 (9th Cir. 2011) (internal quotation
12 omitted). When “two possible explanations” for the alleged misconduct exist, “only one of which
13 can be true and only one of which results in liability, plaintiffs cannot offer allegations that are
14 merely consistent with their favored explanation but are also consistent with the alternative
15 explanation.” *In re Century Aluminum Co. Sec. Litig.*, 729 F.3d 1104, 1108 (9th Cir. 2013) (citations
16 and quotation marks omitted). If allegations of other facts consistent with the challenged pleading
17 could not possibly cure deficiencies in the complaint, then dismissal with prejudice is appropriate.
18 *U.S. v. Corinthian Colleges*, 655 F.3d 984, 995 (9th Cir. 2011).

19 **III. RELEVANT ALLEGATIONS IN APPLE’S COMPLAINT**

20 Defendant io Products, Inc. was founded by Sir Jonathan Paul Ive, Scott Cannon, Evans
21 Hankey, and Tang Yew Tan, with the mission of developing an entirely new generation of hardware
22 devices untethered by traditional user interfaces. Compl. ¶ 36, n.9. In 2025, io Products merged
23

24 ¹ First Claim For Relief (alleging trade secret misappropriation under DTSA against Chang Liu);
25 Second Claim For Relief (alleging trade secret misappropriation under DTSA against Tang Tan);
26 Third Claim For Relief (alleging trade secret misappropriation under DTSA against OpenAI);
27 Fourth Claim For Relief (alleging trade secret misappropriation under DTSA against io Products).
28 Compl. ¶¶ 24, 27, 30, 33.

1 with OpenAI, the pioneering artificial intelligence company behind ChatGPT. OpenAI has carried
2 that mission forward, in harmony with its own mission to ensure that artificial general intelligence
3 benefits all of humanity, aiming to build hardware unlike anything on the market, powered by
4 artificial intelligence capabilities. *Id.* ¶¶ 35, 36, n.9.

5 Since io Products’ founding, hundreds of Apple designers and engineers have chosen to
6 leave their jobs at Apple to join OpenAI’s effort to design a new family of devices for the AI era.
7 *Id.* ¶ 53. Among them were Defendant Chang Liu, who resigned from Apple on January 22, 2026
8 after an eight-year career. *Id.* ¶ 55. Apple alleges (without any support) that Mr. Liu was
9 unresponsive to certain “outreach,” including a vague “confidentiality reminder” that it wanted him
10 to sign—notwithstanding that Mr. Liu was already allegedly bound by Apple’s IPA. *Id.*

11 According to Apple, its failure to detect a flaw in its own cyber-security allowed several
12 unauthorized users, purportedly including Mr. Liu, to access allegedly confidential files hosted on
13 Apple’s servers. *Id.* ¶ 5. Although Apple admits that it is “still investigating” the consequences of
14 its security lapse, it nevertheless alleges that Mr. Liu downloaded and shared links to several of
15 these files with another employee still working at Apple—presumably someone with her own
16 authorized access to the same information. *Id.* at n.1, ¶ 58. Apple acknowledges that it does not
17 know whether Mr. Liu has used this information to benefit himself or to benefit his new employer,
18 OpenAI. *Id.* ¶ 54. These allegations are based on Apple’s selective review of its employees’
19 personal iMessages left on Apple devices, *id.* ¶ 60.

20 Apple further alleges that OpenAI acted unlawfully by asking candidates questions about
21 their prior work experience in job interviews. *Id.* ¶ 10. Out of the “over four hundred” former Apple
22 employees that Apple alleges are now at OpenAI (*id.* ¶ 53), Apple identifies a handful of interview
23 questions it alleges are actionable. *See id.* ¶¶ 9, 10, 65, 70, 75. Apple alleges that Defendant Tang
24 Yew Tan used an Apple codename during an interview, and asked the candidate to bring “Actual
25 parts” that they worked on in Apple for “show and tell” sessions, including “Batteries,” “SIP,”
26 “mlb,” and “shields.” *Id.* ¶¶ 9, 70. Apple also alleges that OpenAI asks candidates to prepare
27 “Technical Deep Dive” presentations with slides at their interviews, and instructs candidates to bring
28 and/or discuss “CAD/design artifacts” and “prototypes,” “subsystem and component selection”

1 information, “tools and methodologies you use for system integration” and “[v]endor selection and
2 communication/collaboration with vendors.” *Id.* ¶ 75. Except as a bare conclusion, the Complaint
3 does not allege that these questions sought confidential information—as opposed to the sort of
4 background any employer might ask about in an interview, such as an individual’s experience with
5 any of the thousands of non-confidential Apple parts or components already sold and widely
6 available on the market, or parts and designs unrelated to Apple altogether.

7 Apple asserts that OpenAI “coaches candidates to prepare for their interviews by studying
8 Apple confidential engineering documentation . . .” but provides no factual support for these
9 allegations beyond the alleged activity of Defendant Liu, discussed below. *Id.* And while Apple
10 concludes that “departing Apple employees, around the time they are leaving Apple, send Apple’s
11 confidential information to their personal email accounts for future use in their work at OpenAI,”
12 the only factual basis it offers are the same bald allegations involving Mr. Liu. *Id.*; *see id.* ¶ 9.

13 Apple then asserts that Defendants’ alleged conduct amounts to theft of trade secrets—which
14 it describes as Apple information belonging to five broad categories that reflect generic stages of
15 product development. *Id.* ¶ 40. These categories of alleged trade secrets include “Hardware
16 Engineering and Product Design,” “Manufacturing, Design, Industrial Design, and Process
17 Engineering,” “Component Technologies,” “Proprietary Testing, Validation, and Development
18 Methodologies,” and “Global Supply Chain Operations, Supplier Relationships, and Proprietary
19 Business Operations.” *Id.* Within each category, Apple provides a list of vague, non-limiting
20 examples of information that is useful only to Apple and its products. *Id.* These examples include,
21 “solutions ... unique to Apple,” “data developed for Apple’s hardware products,” “component
22 technologies ... for specific Apple hardware programs,” and “product designs for current and future
23 unreleased [Apple] products.” *Id.* Before its list of categories and non-limiting examples, Apple
24 includes a boilerplate statement that “[e]ach category of secrets derives independent economic value
25 from its secrecy and has been the subject of Apple’s extensive protective measures,” without any
26 further specificity or factual support. *Id.*

27 **IV. ARGUMENT**

28 Under the Defend Trade Secrets Act, 18 U.S.C. § 1836 *et seq.* (“DTSA”), a trade secret

1 owner may bring a civil action for misappropriation of a trade secret. 18 U.S.C.A. § 1836(b). To
2 state a claim for trade secret misappropriation, “a plaintiff must allege (1) that it is the owner of a
3 trade secret; (2) that the defendant misappropriated the trade secret; and (3) that it was damaged by
4 the defendant’s actions.” *Navigation Holdings, LLC v. Molavi*, 445 F. Supp. 3d 69, 78 (N.D. Cal.
5 2020). Apple fails to adequately allege any of the three requisite elements of its claims against
6 Defendants. Its trade secret ownership allegations rely on sparse, conclusory statements that are
7 generic categories of product development information—which Apple’s own assertions confirm are
8 neither secret nor subject to reasonable measures to maintain secrecy. Its misappropriation
9 allegations against Mr. Liu rest on an untenable interpretation of documents that overlooks the
10 obvious explanation for Mr. Liu’s allegedly illicit behavior. And its misappropriation allegations
11 against Mr. Tan and OpenAI, which largely pertain to allegedly improper interview conduct, do not
12 allege (except in the most conclusory of fashions) that either actually acquired, used, or disclosed
13 an Apple trade secret. Accordingly, Apple’s Complaint should be dismissed in its entirety.

14 **A. Apple Has Failed to Demonstrate It Owns A Protectable Trade Secret**

15 The starting point of every trade secret misappropriation claim must be the existence of a
16 protectable trade secret owned by the plaintiff. *Id.*; *Quintara Biosciences, Inc. v. Ruifeng Biztech,*
17 *Inc.*, 149 F.4th 1081, 1087 (9th Cir. 2025) (“possession of a trade secret [is] the first element of any
18 DTSA claim”). To satisfy this element, a plaintiff “must prove that they possess information that
19 ... they have tried to keep secret and ... is unknown to others.” *Quintara*, 149 F.4th at 1087
20 (cleaned up). As the Ninth Circuit recently confirmed, it is the plaintiff’s burden to prove that the
21 information it claims as trade secret is not readily ascertainable by proper means. *Comet Techs.*
22 *USA, Inc. v. XP Power, LLC*, 2026 WL 2028303, *4 (9th Cir. Jul. 14, 2026). Apple has not only
23 failed to plead facts that plausibly show its asserted information meets these criteria, its Complaint
24 indicates that it cannot meet these requirements. That failure alone warrants dismissal.

25 ***First***, Apple’s Complaint fails to sufficiently describe the information for which it claims
26 trade secret protection; its generalized product development categories are not sufficient to survive
27 a motion to dismiss. “On a motion to dismiss, the burden is on the plaintiff to identify protectable
28 trade secrets and ‘[show] that they exist.’” *CleanFish, LLC v. Sims*, 2020 WL 4732192, at *3 (N.D.

1 Cal. Aug. 14, 2020) (citation omitted). Moreover, the identification and sufficient description of
2 the alleged trade secrets must be ***in the complaint***. *Palantir Techs., Inc. v. Abramowitz*, 2020 WL
3 9553151, at *18 (N.D. Cal. July 13, 2020) (identifying trade secrets in other filings outside the
4 complaint “does not change the Court’s analysis” on a motion to dismiss); *see also Space Data*
5 *Corp. v. X*, 2017 WL 5013363, at *2 (N.D. Cal. Feb. 16, 2017) (same); *Quintara Biosciences*, 149
6 F.4th at 1087-1088 (holding that, even based on “the conventional procedures under the Federal
7 Rules of Civil Procedure,” a trade secret plaintiff must “identify a trade secret with sufficient
8 particularity” and not “simply rely upon catchall phrases or identify categories of trade secrets”
9 (quotations and citations omitted)). “To prove that Plaintiff is the owner of a trade secret, it ‘need
10 not spell out the details of the trade secret,’ but must ‘describe the subject matter of the trade secret
11 with sufficient particularity to separate it from matters of general knowledge in the trade or of special
12 knowledge of those persons who are skilled in the trade, and ***to permit the defendant to ascertain***
13 ***at least the boundaries within which the secret lies.***” *CleanFish*, 2020 WL 4732192, at *3 (N.D.
14 Cal. Aug. 14, 2020) (citation omitted, emphasis added); *see also id.* (dismissing complaint which
15 failed to permit an “item-by-item determination of what is and is not protectable” (internal citation
16 and quotation marks omitted)).

17 Apple’s Complaint falls far short of this standard. In the section entitled, “Apple and Its
18 Trade Secrets,” Apple alleges that its trade secrets encompass a laundry list of generic categories
19 that could encompass any and all information relating to development of any hardware product.
20 Compl. ¶ 40. These categories are: “Hardware Engineering and Product Design,” “Manufacturing
21 Design, Industrial Design, and Process Engineering,” “Component Technologies,” “Proprietary
22 Testing, Validation, and Development Methodologies,” and “Global Supply Chain Operations,
23 Supplier Relationships, and Proprietary Business Operations.” *Id.* Those are not trade secrets. And
24 the invocation of those generic and non-specific categories does not help ascertain the boundaries
25 of the information at-issue. “General allegations identifying the ‘purported trade secrets in broad,
26 categorical terms that are merely descriptive of the types of information that generally may qualify
27 as protectible trade secrets are insufficient to state a claim.’” *Google LLC v. Point Fin., Inc.*, 2026
28 WL 579462, at *3 (N.D. Cal. Mar. 2, 2026) (internal citation omitted); *see also Vendavo, Inc. v.*

1 *Price f(x) AG*, 2018 WL 1456697, at *4 (N.D. Cal. Mar. 23, 2018) (rejecting attempt to plead trade
2 secrets in “broad, categorical terms, more descriptive of the types of information that generally *may*
3 qualify as protectable trade secrets . . .”); *P2i Ltd. v. Favored Tech USA Corp.*, 2024 WL 4294652,
4 at *4 (N.D. Cal. Sept. 24, 2024) (dismissing trade secret claim alleging theft of “sweeping categories
5 of trade secrets” that are “too high-level” and “too general”).

6 Apparently aware that its high-level categories are insufficient, Apple appends to each
7 category a list of examples, all following the word “includes.” *See* Compl. ¶ 40(a)–(e), pp. 9:25,
8 10:16, 10:22, 11:7, 11:20. But these attempts at further specificity, which do not appear intended
9 to limit the scope of the generic categories themselves, do not meaningfully aid Defendants in
10 ascertaining the boundaries of what Apple claims. Apple itself has recognized this before. It
11 previously persuaded a court that an identification of supposed “specific trade secrets” which
12 “merely provide some examples of what is within the broad” categories asserted was insufficient to
13 narrow an otherwise sweeping claim. *Masimo Corp. v. Apple Inc.*, 2020 WL 6653652, at *3 (C.D.
14 Cal. Oct. 13, 2020) (dismissing complaint where categories asserted “d[id] not actually narrow” the
15 “impermissibly vague and unbounded description of the trade secrets that precedes them”); *see also*
16 *Becton, Dickinson & Co. v. Cytex Biosciences Inc.*, 2018 WL 2298500, at *3 (N.D. Cal. May 21,
17 2018) (dismissing complaint where “a number of the categories are preceded by the phrases ‘such
18 files included’ and ‘such as,’ thereby further expanding the scope of the allegations in which the
19 categories are contained.”). *Compare* Compl. ¶¶ 40(a) (identifying “circuit and system design
20 specifications, component architecture, and power management innovations” as alleged trade secret
21 information), 40(c) (identifying “confidential testing data, performance evaluations, and trend
22 analyses generated through extensive engineering investment” as alleged trade secret information)
23 *with, e.g., Teradata Corp. v. SAP SE*, 2018 WL 6528009, at *4 (N.D. Cal. Dec. 12, 2018) (finding
24 allegations relating to the “design and optimization of Teradata’s MPP [i.e., massively parallel
25 processing] systems” insufficient to state a claim); *Space Data Corp.*, 2017 WL 5013363, at *2
26 (“data on the environment in the stratosphere” and “data on the propagation of radio signals from
27 stratospheric balloon-based transceivers” were insufficient); *P2i Ltd.*, 2024 WL 4294652, at *4
28 (dismissing allegations related to “the identity and quality controls imposed on suppliers of reactants

1 and equipment used in P2i's processes" and "confidential information pertaining to the specific
2 chemical identity of reaction precursors").

3 **Second**, the breadth and lack of specificity of Apple's alleged trade secret information also
4 establish that Apple has failed to plead a protectable trade secret, at least because Apple's own
5 allegations confirm the categories and examples are not secret and that Apple has not taken
6 reasonable measures to maintain secrecy of them. *Cf. Quintara Biosciences*, 149 F.4th at 1087;
7 *Google LLC*, 2026 WL 579462, at *3. Instead, the Complaint indicates that the information Apple
8 asserts as trade secret is readily ascertainable by proper means.

9 For example, Apple's "Global Supply Chain Operations, Supplier Relationships, and
10 Proprietary Business Operations" "trade secret" category states that it could include "the identities
11 and roles of specialized sub-suppliers and vendors who provide Apple with critical components and
12 equipment." Compl. ¶ 40(e). This description is far too broad and generic to articulate any
13 protectable trade secret—especially because it encompasses information that Apple acknowledges
14 is not secret, has not tried to keep secret, and instead is reasonably ascertainable from proper means,
15 including from the Complaint itself. *See, e.g., AlterG, Inc. v. Boost Treadmills LLC*, 388 F. Supp.
16 3d 1133, 1144 (N.D. Cal. 2019) (dismissing trade secret complaint which claimed, *inter alia*,
17 AlterG's "knowledge of vendors with appropriate, specialized skills, and technology innovation").
18 Indeed, as Apple's Complaint acknowledges elsewhere, it is public knowledge that "Foxconn [is]
19 Apple's iPhone assembler" and "Luxshare and Goertek [are] both established Apple suppliers."
20 Compl. at ¶ 37. Apple's Complaint acknowledges that its relationships with Goertek, for example,
21 and its sub-suppliers, such as [REDACTED], are no secret, nor has Apple tried to keep them secret.²
22 Moreover, Apple has failed to allege facts that plausibly show it can meet its burden of proving its
23 supplier relationships are not readily ascertainable by proper means. While not necessary to prevail
24

25
26 ² APPLE SUPPLIER GOERTEK TO BUY LUEN FUNG COMMERCIAL'S UNITS FOR \$1.3 BILLION,
27 REUTERS, *available at* [https://www.reuters.com/world/asia-pacific/apple-supplier-goertek-buy-](https://www.reuters.com/world/asia-pacific/apple-supplier-goertek-buy-luen-fung-commercials-units-13-billion-2025-07-22/)
28 [luen-fung-commercials-units-13-billion-2025-07-22/](https://www.reuters.com/world/asia-pacific/apple-supplier-goertek-buy-luen-fung-commercials-units-13-billion-2025-07-22/) (last accessed Aug. 4, 2026).

1 on this motion³, a cursory internet search shows that this information *is* readily ascertainable from
2 proper means. For example, Apple itself publishes online a “Supplier List” that Apple tells the
3 public “represents 98 percent of our direct spend for materials, manufacturing, and assembly of our
4 products worldwide.”⁴ That’s not all; numerous third-party webpages detail Apple’s network of
5 suppliers, manufacturers, and vendors, including the specific components and Apple products
6 associated with each.⁵ As one might expect, “[t]hese suppliers don’t exclusively serve Apple.”⁶

7 The rest of Apple’s broad, unspecific categories of information suffer the same problems:
8 they fail to articulate information that is secret, not readily ascertainable by proper means, and kept
9 secret through reasonable measures taken by Apple. There is no way to ascertain from Apple’s
10 Complaint what information within these categories it alleges to be trade secret and which it
11 concedes has been disclosed and thus “extinguishes [that] information’s trade secret status.” *Attia*
12 *v. Google LLC*, 983 F.3d 420, 426 (9th Cir. 2020). In fact, every category of its alleged trade secrets

13 _____
14 ³ While not necessary to decide this motion, the Court may “take judicial notice of matters of
15 public record.” *Realnetworks, Inc. v. DVD Copy Control Ass’n, Inc.*, 2010 WL 145098, at *4
16 (N.D. Cal. Jan. 8, 2010) (“A court deciding a Rule 12(b)(6) motion can take judicial notice of
17 matters of public record.”).

18 ⁴ SUPPLIER LIST, APPLE, *available at*
19 https://s203.q4cdn.com/367071867/files/doc_downloads/2024/04/Apple-Supplier-List.pdf (last
20 accessed Aug. 4, 2026); SUPPLY CHAIN INNOVATION REPORTS, APPLE, *available at*
21 <https://www.supplychainreports.apple/home/default.aspx> (last accessed Aug. 4, 2026)

22 ⁵ LIST OF APPLE INC. SUPPLIERS, WIKIPEDIA, *available at* [https://en.wikipedia.org/wiki/](https://en.wikipedia.org/wiki/List_of_Apple_Inc._suppliers)
23 [List_of_Apple_Inc._suppliers](https://en.wikipedia.org/wiki/List_of_Apple_Inc._suppliers) (last accessed Aug. 4, 2026); THE NEW AND FORMER COMPANIES ON
24 APPLE’S FY2021 SUPPLIER LIST, Scope Of WORK, *available at* [https://www.scopeofwork.net/ the-](https://www.scopeofwork.net/the-new-and-the-jilted-companies-on-apples-fy2021-supplier-list/)
25 [new-and-the-jilted-companies-on-apples-fy2021-supplier-list/](https://www.scopeofwork.net/the-new-and-the-jilted-companies-on-apples-fy2021-supplier-list/) (last accessed Aug. 1, 2026).

26 ⁶ *E.g.*, APPLE’S GRIP ON METAL CHASSIS SUPPLIES LEAVES ULTRABOOK MAKERS SCRAMBLING,
27 WIRED, *available at* <https://www.wired.com/2012/07/apple-metal-chassis-domination/> (last
28 accessed Aug. 1, 2026).

1 includes information for which Apple has not sufficiently alleged it took reasonable measures to
2 maintain secrecy. As a trade secret plaintiff, Apple must sufficiently plead (and eventually prove)
3 that it took reasonable measures. But Apple’s own Complaint says that it did not. *See Trinidad v.*
4 *OpenAI Inc.*, 2026 WL 21791, at *4 (N.D. Cal. Jan. 5, 2026) (dismissing DTSA claim where
5 plaintiff failed to take “any reasonable measures to keep” “‘protocols and frameworks’ secret”),
6 *appeal dismissed*, 2026 WL 1251786 (9th Cir. Apr. 6, 2026). Apple’s own Complaint suggests that
7 its alleged measures were *un*reasonable and insufficient to protect the information it now asserts as
8 trade secret, i.e., that theft of “Apple’s most sensitive information” has been happening for years,
9 by potentially hundreds of its former employees. Compl. ¶ 53. According to Apple, the trade secret
10 information is stored in its “network file repository,” “restricting access ... to only those employees
11 currently working on and authorized to view them” and “disabl[ing] and prohibit[ing] access to its
12 network storage upon an employee’s departure.” Compl. ¶¶ 47, 55. Yet, at the center of Apple’s
13 claims is its theory that vulnerabilities in its system allowed unauthorized users to access the
14 repository—and, even worse, this vulnerability had previously been unknown to Apple. *Id.* at n.1,
15 ¶ 5, ¶ 57. And while Apple touts its offboarding procedures as robust, its own allegations state that
16 they were entirely circumventable. *Id.* at ¶¶ 4, 55 (alleging that departing employee left Apple
17 without an exit interview, signing a confidentiality reminder, or returning at least one Apple-owned
18 device, and tellingly failing to allege any follow-up by Apple on any of these so-called concerns for
19 months). Apple also alleges that not only were its purportedly confidential prototypes left physically
20 unsecured, its employees also lacked clarity on Apple’s policies for handling them. *Id.* at 9 (alleging
21 that its employee remarked that he “didn’t even know we could take [prototypes] from the office”).
22 As detailed below, Apple has not pled facts that could plausibly show that it reasonably protected
23 the information that Apple alleges Messrs. Liu and Tan took. While Apple may claim it took some
24 measures to maintain secrecy of its broad categories of alleged trade secret information, there is
25 nothing reasonable about them.

26 **Third**, Apple’s Complaint also fails to allege any facts that would plausibly support that it
27 actually owns the information set forth in the alleged trade secret categories. *See, e.g., Focused*
28 *Impressions, Inc. v. Sourcing Grp., LLC*, 2020 WL 1892062, at *5 (D. Mass. Apr. 16, 2020)

1 (dismissing complaint where plaintiff “fail[ed] to allege” that it had “rightful legal or equitable title
2 to, or license in” the information allegedly misappropriated (citation omitted)). For example,
3 Apple’s asserted categories repeatedly reference information and technology involving its third-
4 party vendors and suppliers. *E.g.*, Compl. ¶ 40(b) (referencing “machinery used in its suppliers’
5 factories” and “equipment housed at supplier facilities”), (c) (referencing “component technologies”
6 and “plug-and-play solutions engineered with specialized third-party vendors”), (d) (referencing
7 “supplier collaboration strategies”), (e) (referencing “supplier relationships—including the
8 identities and roles of specialized sub-suppliers and vendors” and “personnel information”). While
9 Apple may add the word “proprietary” when alluding to vendor/supplier information or technology,
10 this conclusory, threadbare adjective is not enough—Apple has not alleged any factual basis why
11 the information would belong to Apple rather than its vendors and suppliers, let alone why they
12 would be protectable trade secrets. *See Teradata Corp.*, 2018 WL 6528009 (“[T]here are no
13 allegations suggesting . . . how or why [the information] is proprietary [to plaintiff] besides simply
14 being labeled a trade secret”); *Quintara Biosciences*, 149 F.4th at 1087 (“[N]ot all proprietary
15 information qualifies for protection as a property interest under DTSA.”). In fact, Apple states that
16 its trade secret categories include information “developed in collaboration with trusted suppliers and
17 sub-suppliers” and “solutions engineered with specialized third-party vendors”; the Complaint also
18 acknowledges that “sub-suppliers and vendors [] collaborate with Apple on these technologies.”
19 Compl. ¶ 40(c). Apple has not alleged any plausible factual basis why these purportedly co-
20 developed technologies are owned by Apple (even if they are confidential).⁷

21 ***Finally***, as described in the following sections, Apple’s Complaint fails to plausibly allege
22 any improper conduct by any Defendant and, thus, those allegations cannot and do not help describe
23

24 ⁷ Apple’s Complaint alleges that certain technologies developed with its vendors or suppliers are
25 “subject to strict use restrictions” or “protected by stringent confidentiality terms.” Compl.
26 ¶ 40(c). But, even if true, restricted use or confidentiality is not equivalent to ownership. *See*
27 *Focused Impressions, Inc.*, 2020 WL 1892062, at *5 (finding ownership insufficiently pled
28 notwithstanding allegations that the information was subject to confidentiality agreements).

1 or identify what information Apple alleges is protectable trade secret. The complete lack of any
2 nexus between Apple’s descriptions in paragraph 40 of its Complaint and its misappropriation
3 allegations only exacerbates the deficiencies in Apple’s Complaint. *See, e.g., Vox Network Sols.,*
4 *Inc. v. Gage Techs., Inc.*, 2024 WL 1260573, at *3 (N.D. Cal. Mar. 25, 2024) (dismissing complaint
5 because “Vox does not allege which purported trade secrets were misappropriated or provide any
6 factual allegations to support these conclusory assertions.”).

7 Because Apple’s Complaint fails to sufficiently identify a protectable trade secret owned by
8 Apple, it has failed to state a DTSA claim. *See Lamont v. Conner*, 2019 WL 1369928, at *8 (N.D.
9 Cal. Mar. 26, 2019) (granting motion to dismiss where “Plaintiff’s description of his trade secrets
10 as stated in the complaint are not plead with sufficient particularity”); *AlterG, Inc.*, 388 F. Supp. 3d
11 at 1145 (dismissing claim where plaintiff “fail[ed] to identify its allegedly misappropriated trade
12 secrets with sufficient particularity to state a claim under the DTSA”); *Vendavo, Inc.*, 2018 WL
13 1456697, at *4 (same); *Teradata Corp.*, 2018 WL 6528009, at *4 (same); *Space Data Corp.*, 2017
14 WL 5013363, at *2 (same).

15 **B. Apple Has Failed To Allege Conduct That Plausibly Supports A Claim Of**
16 **Misappropriation**

17 The DTSA defines “misappropriation” as the “acquisition of a trade secret of another by a
18 person who knows or has reason to know that the trade secret was acquired by improper means,” or
19 the “disclosure or use of a trade secret” “without express or implied consent.” 18 U.S.C. § 1839(5);
20 *see also Arthur J. Gallagher & Co. v. Tarantino*, 498 F. Supp. 3d 1155, 1172 (N.D. Cal. 2020). As
21 detailed below, the Complaint fails to allege conduct by any Defendant that would plausibly support
22 a claim for misappropriation.

23 1. Apple Fails to Plausibly Allege Misappropriation Against Defendant Liu

24 Apple alleges that Chang Liu accessed Apple’s “shared network folders” after his January
25 2026 departure and downloaded “dozens” of confidential files, including a presentation concerning
26 the manufacture and testing of multi-layer boards. Compl. ¶ 5; *see id.* ¶¶ 55, 58-59. But the portions
27
28

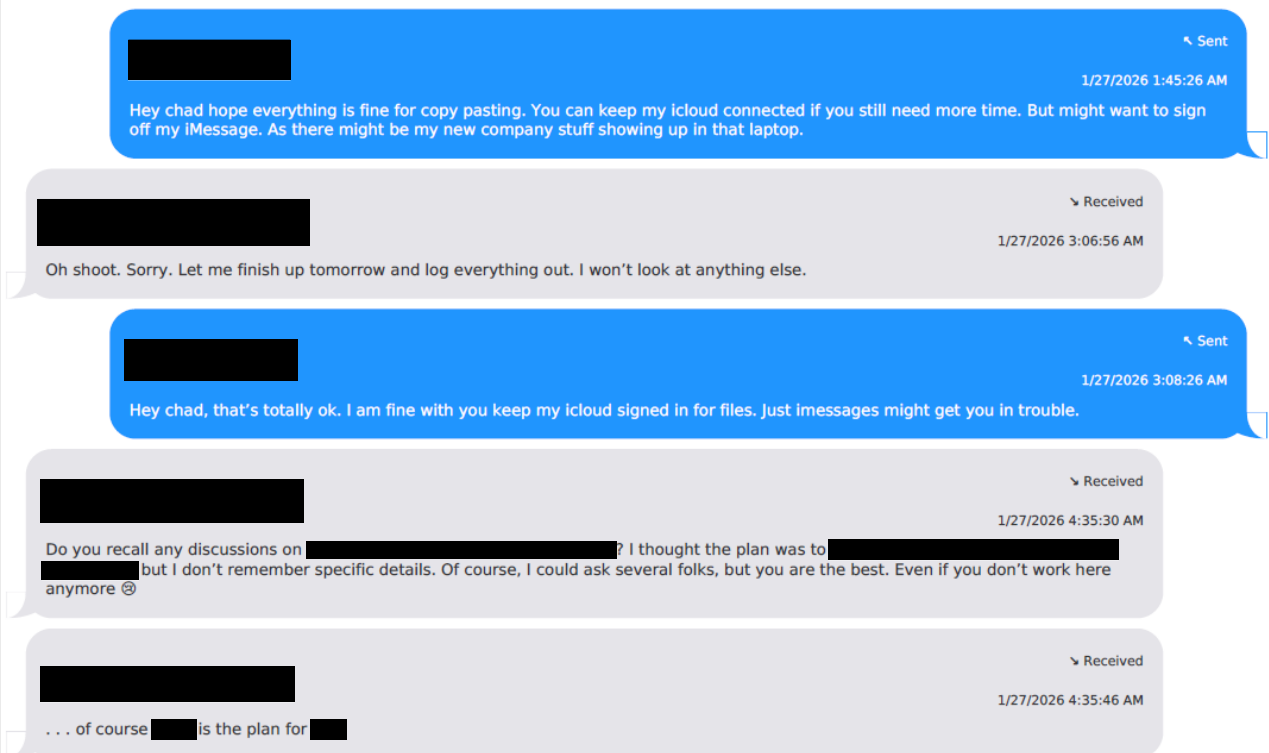
1 of Mr. Liu’s correspondence with his former Apple colleagues that Apple conspicuously leaves out⁸
2 of its pleading show that the Complaint badly misreads the circumstances of this access. Far from
3 misappropriation, any access and download of Apple information was *requested and authorized* by
4 Apple itself.

5 The reason for this stems from Apple’s own policies, which are set forth in detail in the
6 Complaint. By Apple’s own admission, when an Apple employee was leaving for OpenAI, Apple
7 would “walk [them] out” and “promptly remove them from the company rather than giving them a
8 standard two weeks” to arrange a transition. *Id.* ¶ 84. In Mr. Liu’s case, Apple asked him to work
9 until the end of his very last day and that walkout was apparently so hasty that, due to what Apple
10 characterizes as an “authentication bug,” it failed to disable his access to Apple’s cloud storage
11 systems. *Id.* ¶ 5. Messages and conversations between Mr. Liu and his former colleagues at Apple

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13 ⁸ In deciding a motion to dismiss under Rule 12(b)(6), “courts may take into account documents
14 whose contents are alleged in a complaint and whose authenticity no party questions, but which
15 are not physically attached to the plaintiff’s pleading. A court may treat such a document as part
16 of the complaint, and thus may assume that its contents are true for purposes of a motion to
17 dismiss under Rule 12(b)(6).” *Davis v. HSBC Bank Nevada, N.A.*, 691 F.3d 1152, 1160 (9th Cir.
18 2012) (cleaned up); *see also Parrino v. FHP, Inc.*, 146 F.3d 699, 706 (9th Cir. 1998) (purpose of
19 incorporation by reference doctrine is in “[p]reventing plaintiffs from surviving a Rule
20 12(b)(6) motion by deliberately omitting references to documents upon which their claims are
21 based”); *Daniels-Hall v. Nat’l Educ. Ass’n*, 629 F.3d 992, 998 (9th Cir. 2010) (ruling that
22 documents were incorporated by reference because “Plaintiffs directly quoted the material posted
23 on these web pages, thereby incorporating them into the Complaint”); *May v. Google LLC*, 2026
24 WL 788376, at *5 (N.D. Cal. Mar. 20, 2026) (judicially noticing the “chat history” that is
25 “describe[d] . . . in some detail” in the complaint under the incorporation by reference doctrine);
26 *Ashitey v. Arista Networks, Inc.*, 2026 WL 1133896, at *3 (N.D. Cal. Apr. 27, 2026) (permitting
27 incorporation of the “screen shots displaying the Slack messages” that formed the basis of
28 plaintiff’s claim).

1 reveal that Apple itself began instructing Mr. Liu to retrieve information from his time at the
2 company—and in some instances, Apple employees accessed and downloaded that information
3 directly using Mr. Liu’s credentials.

4 For example, correspondence between Mr. Liu and his former Apple colleagues, including
5 his former Apple manager, shows *Apple employees* continuing to access Mr. Liu’s personal iCloud
6 account, downloading files from it, and asking him questions about its contents well after his
7 departure:⁹



20 Ex. A at 1 (conversation with manager). On another occasion, more than a month after Mr. Liu had
21 departed Apple and was settled at OpenAI, that same former manager texted Mr. Liu again asking
22 for help: “Just in case you don’t have enough work, I need some help. I have some vague
23

24
25 ⁹ Apple’s common practice is to allow (and even incentivize) employees to use personal iCloud
26 accounts for Apple work. This intermingling of the company’s information with employees’
27 personal information—in an account not controlled by the company, no less—further
28 demonstrates that Apple has failed to allege reasonable measures.

1 recollection of you talking about [REDACTED]
2 [REDACTED]. Can you give me a brief refresh of this and point me to an
3 EE who may have some knowledge?” *Id.* at 4. Apple’s abbreviated offboarding of Mr. Liu had
4 apparently left the Apple employee no other way to obtain this information. Apple, in short, kept
5 coming back to Mr. Liu because—as his own former manager put it—he “need[ed] some help,” and
6 Mr. Liu was “the best[,] [e]ven if you don’t work here anymore,” *Id.* at 2. Having repeatedly asked
7 for and authorized the very access it now calls theft, Apple cannot convert that access into a
8 misappropriation claim, which requires that the information be acquired through improper means.
9 *See* 18 U.S.C. § 1839(6) (“‘improper means’ . . . does not include . . . any other lawful means of
10 acquisition”); *UAB “Planner 5D” v. Facebook, Inc.*, 2019 WL 6219223, at *11 (N.D. Cal. Nov. 21,
11 2019) (dismissing complaint which “does not explain how [the defendant’s actions] constitute
12 improper means”).

13 Nothing in Apple’s Complaint supports a contrary inference. *See In re Century Aluminum*
14 *Co. Sec. Litig.*, 729 F.3d at 1108 (allegations must “tend[] to exclude the [innocent] explanation”).
15 The bulk of Apple’s allegations against Mr. Liu concern this same pattern of information sharing,
16 largely between Mr. Liu and a different Apple employee. *See e.g.*, Compl. ¶ 58 (noting Mr. Liu
17 would “direct[] her attention to specific [Apple] folders, [Apple] engineering documentation, and
18 [Apple] technical data”); *see generally id.* ¶¶ 55-67. Apple alleges that this employee later left
19 Apple for OpenAI (*id.* ¶ 56), and that Mr. Liu sometimes messaged her over LINE (*id.* ¶ 66), the
20 preferred and most popular messaging app in several East Asian countries.¹⁰ But nothing beyond
21 bare allegations offered “on information and belief,” *id.* ¶ 65, shows that this exchange amounted to
22 anything more than Mr. Liu helping one of his former colleagues locate information from his own
23 prior work at Apple—after Apple hastily walked him out the door. Further, Apple appears not to
24 have, and does not allege that it, fully investigated the possibility that some of the activity at issue
25 was the result of unintentional processes, e.g., device syncing unknown to Mr. Liu, and a result of
26

27 ¹⁰ *See, e.g.*, LINE: A GUIDE TO JAPAN’S MESSENGER GIANT, BBC, *available at*
28 <https://www.bbc.com/news/business-36710888> (last accessed Aug. 4, 2026).

1 Apple's failure to manage system access for departing employees.

2 Lastly, Apple's allegations that Mr. Liu "used" Apple's trade secret information during his
3 work at OpenAI are insufficient. *Id.* ¶ 90. Beyond conclusory allegations lacking factual support,
4 Apple does not allege that Mr. Liu ever disclosed a file to OpenAI or used one in OpenAI's hardware
5 work. The only disclosure the Complaint actually describes is that Mr. Liu "shared his findings"
6 with *Apple employees* such as Alyssa Peng and sent her links to materials. *Id.* ¶ 58. Ms. Peng was,
7 on Apple's own allegations, an Apple employee at the time, with her own authorized access to
8 Apple's systems. *Id.* ¶¶ 56, 58. Sharing Apple's information with Apple's own employees is not
9 misappropriation. Apple's assertion that Mr. Liu "deploy[ed] Apple's institutional knowledge in
10 hardware development for OpenAI," *id.* ¶ 92, is an entirely conclusory, formulaic recitation of an
11 element, offered without a single supporting fact about what was supposedly deployed, into what,
12 or when. *See Iqbal*, 556 U.S. at 678.

13 2. Apple Fails to Plausibly Allege Misappropriation Involving Defendant Tan

14 Apple's Complaint alleges that Tang Yew Tan, a highly respected twenty-four-year Apple
15 veteran who Apple trusted with "its most sensitive projects," elicited trade secret information from
16 Apple employees who were interviewing with him for a new job at OpenAI. Compl. ¶ 8; *see id.*
17 ¶ 9. The Complaint alleges that Mr. Tan directed one candidate to "bring some parts [she] worked
18 on" to an interview for a "show and tell" session, and that in a separate instance, he allegedly
19 referenced an Apple codename during an interview. *Id.* ¶ 70 (alteration in original).

20 Even if Apple had identified potentially protectable information somewhere in its
21 Complaint, which it has not done, it never identifies any particular trade secret, at any level of detail,
22 that Mr. Tan supposedly acquired, used, or disclosed. Nor, logically, does it allege that such
23 information was not readily ascertainable through proper means. Instead, Apple speculates about
24 conduct—interview questions, references to public parts and project codes, an offboarding
25 document, and emails to a personal account—without identifying *any* trade secret he supposedly
26 obtained. That comes nowhere close to the pleading requirements for trade-secret claims.

27 Apple's Complaint lacks any factual allegation to support its baseless claim that Mr. Tan
28 sought its trade secrets (he did not) or that any candidate ever disclosed them in response (they did

1 not). *See Navigation Holdings*, 445 F. Supp. 3d at 78-79 (plaintiff asserting “indirect trade secret
2 misappropriation” claim must plead that Defendant “knew or had reason to know” the disclosed
3 information was a trade secret and that it had been acquired through improper means or was
4 disclosed by mistake (cleaned up)).

5 Take, for instance, Apple’s allegations concerning its “parts.” Apple alleges that products
6 such as the iPhone, Apple Watch, and MacBook are “sold to consumers worldwide.” Compl. ¶ 90.
7 Many components from released consumer products therefore will be publicly available,
8 observable, or susceptible to lawful inspection or reverse engineering—meaning they are, by
9 definition, widely available and in the public domain. *Id.* But the Complaint does not identify any
10 particular part allegedly misappropriated; allege that it came from an unreleased project, rather than
11 a public product; identify the protected feature or information allegedly embodied in it; explain why
12 that feature was not readily ascertainable through proper means; allege that any candidate actually
13 displayed the part; or even allege that Mr. Tan or anyone else ever received, examined, retained, or
14 used it, whatever it is. To the contrary, the text messages immediately surrounding the messages
15 Apple quotes in the Complaint show that the recipient of Mr. Tan’s request understood him to be
16 referring to [REDACTED] parts, not anything that Apple could consider confidential. Cheng Decl. ¶ 2
17 & Ex. B (*see* n.8, *supra*, explaining why Mr. Tan’s communications are incorporated by reference).
18 Apple asks the Court to infer trade secret misappropriation from a common and innocuous request
19 that a candidate discuss or display his prior work, which the candidate himself understood to seek
20 publicly available information. This standard industry interviewing practice does not constitute
21 misappropriation. *See x.AI Corp. v. Openai, Inc.*, 2026 WL 1718645, at *1 (N.D. Cal. June 15,
22 2026) (asking a recruiting candidate about the “technical aspects” of a project they worked on for a
23 prior employer does not state a claim for trade secret misappropriation).

24 Apple’s unsupported allegation that Mr. Tan purportedly used Apple’s “internal project code
25 names” in an interview with an Apple employee adds nothing. Compl. ¶ 69. Here, again, Apple
26 does not identify the purported code name, or say what information (let alone what trade-secret
27 information) that code name supposedly conveyed, or explain what efforts Apple took to keep that
28 code name secret, or even allege that it was not otherwise readily ascertainable through public

1 sources. Indeed, as with Apple’s vendors and suppliers, publicly accessible sources identify
2 numerous “codenames given to products by Apple Inc. during development.”¹¹ More
3 fundamentally, Apple does not put Mr. Tan (or this Court) on notice as to what specific information
4 he supposedly sought by using a code name, what the candidate said in response, or what trade
5 secret he supposedly acquired through that process. And although Apple vaguely alleges an
6 apparently separate instance in which Mr. Tan “solicited” some unidentified “information about [an]
7 Apple project,” *id.* ¶ 69, it never offers any factual detail to support its speculation—and certainly
8 none that would provide basis to conclude that any such information was a protectable trade secret.

9 Most fundamentally, Apple’s Complaint does not allege that any candidate *actually*
10 *disclosed* an identified trade secret, let alone that Mr. Tan received one. It is not unlawful or
11 improper to ask candidates about the type of work they performed at their previous jobs or about
12 their prior technical experience, which is all the Complaint alleges Mr. Tan did. For the same
13 reasons, Apple also fails to plausibly allege that any candidate violated a confidentiality obligation
14 or that Mr. Tan intended or induced a candidate to do so. And while the DTSA can, of course, reach
15 the active inducement of others’ breaches of their confidentiality obligations, Apple does not allege
16 facts that would support such a claim. Indeed, the most Apple says about what actually occurred in
17 these interviews is that it “has seen no evidence to date” that Defendants tried to *prevent* improper
18 disclosure. Compl. ¶ 71. Setting aside that that is pure speculation, even if it were true, an alleged
19 failure to prevent improper disclosure is not itself misappropriation—because a misappropriation
20 claim requires the unauthorized acquisition, use, or disclosure of an identified trade secret. *See* 18
21 U.S.C. § 1839(5). Apple does not allege what information was disclosed, who disclosed it, or how
22 Mr. Tan supposedly acquired or used it.

23
24 ¹¹ LIST OF APPLE CODENAMES, *available at* [https://apple.fandom.com/wiki/List_of_](https://apple.fandom.com/wiki/List_of_Apple_codenames)
25 [Apple_codenames](https://apple.fandom.com/wiki/List_of_Apple_codenames) (last accessed Aug. 4, 2026); *see also* LIST OF APPLE CODENAMES, *available at*
26 https://en.wikipedia.org/wiki/List_of_Apple_codenames (last accessed Aug. 4, 2026);
27 CODENAMES, *available at* <https://theapplewiki.com/wiki/Codenames> (last accessed Aug. 4, 2026);
28 *supra*, n. 3 (citing *Realnetworks*, 2010 WL 145098, at *4).

1 Apple's allegations concerning an internal document describing Apple's offboarding
2 procedures fare no better as a DTSA theory. Apple alleges that Mr. Tan possessed an Apple
3 document that described Apple's offboarding procedures for departing employees. Compl. ¶¶ 11,
4 73. This is unsurprising: as a former Apple employee, Mr. Tan would be expected to have received
5 Apple offboarding documentation. Apple does not identify that document as one of the trade secrets
6 (nor could it, if it is handing the document to departing employees); identify the particular
7 procedures within it alleged to be secret; explain why those procedures had independent economic
8 value from not being generally known; allege why they were not readily ascertainable through
9 proper means; or connect the document to Mr. Tan's acquisition, disclosure, or use of any identified
10 trade secret. The document's alleged "Need to Know" designation may bear on whether Apple
11 regarded it as confidential—and whether Apple was taking appropriate measures to protect its
12 purportedly confidential information—but that alone does not establish that the document qualifies
13 as a trade secret under the DTSA. Nor does Apple's own description of the document cure that
14 deficiency. The Complaint describes the document as addressing employee-departure procedures,
15 including security reviews, return of company property, and reminders of ongoing confidentiality
16 obligations. *See* Compl. ¶¶ 46–47, 73. Apple does not plead facts showing what aspect of those
17 procedures was a protectable, non-readily-ascertainable trade secret.

18 Apple tries to spin Mr. Tan's possession of the offboarding document as evidence of an
19 attempt to evade confidentiality obligations. The opposite is true, and at least equally plausible:
20 Mr. Tan retained this information to help ensure that new employees coming from Apple *followed*
21 Apple's offboarding procedures and did *not* retain any Apple confidential information. *In re*
22 *Century Aluminum Co. Sec. Litig.*, 729 F.3d at 1108 (declining inference where "obvious alternative
23 explanation" existed). Although Apple baldly alleges that Mr. Tan's possession of this information
24 was for nefarious purposes or actionable, it has asserted no facts to support that conclusion. Further,
25 Apple's Complaint fails to plead facts showing Mr. Tan did anything improper or unlawful with the
26 offboarding information—or that the description of offboarding procedures in the document is even
27 amenable to improper or unlawful purposes. The plausible inference is that Mr. Tan might have a
28 document describing offboarding procedures to ensure former employees complied with those

1 offboarding procedures—especially necessary when, according to the Complaint, it appears that
2 Apple itself did little to nothing to follow its own offboarding and exit procedures. *Compare* Compl.
3 ¶ 46 (alleging Apple’s “departure procedures” include confidentiality reminders and return of
4 “Apple-issued work devices”), *with id.* ¶ 55 (alleging Apple failed to receive signed confidentiality
5 reminder and return of “at least one Apple-owned computer”). *Compare* Compl. ¶ 47 (alleging
6 “Apple disables and prohibits access to its network storage upon an employee’s departure”), *with*
7 *id.* ¶ 5 (alleging Apple was unaware that access to its network storage remained for departed
8 employees), *and id.* ¶ 57 (alleging Apple failed to remove network access for unauthorized users).

9 Finally, Apple’s allegations about Mr. Tan’s emails to a personal account do not help its
10 case. Apple alleges that, “[i]n the months before he left Apple,” Mr. Tan emailed himself
11 “information about Apple’s suppliers and internal summaries of the consumer electronics industry.”
12 Compl. ¶ 9. But what is this “information,” whose are the summaries, and what data do they
13 contain? Again, it is difficult to imagine that any of these are enforceable trade secrets owned by
14 Apple—and nothing in Apple’s Complaint offers even the most basic allegations to support a trade-
15 secret claim. Apple does not identify *any* email or attachment; *any* particular supplier term,
16 technical specification, price, allocation, capacity commitment, or other nonpublic information; or
17 *any* particular portion of an industry summary that it claims as a trade secret. Nor does Apple allege
18 why any such unidentified information was not readily ascertainable through public industry reports,
19 supplier information, ordinary professional experience, or other proper means.

20 Apple offers nothing because it has nothing because there is nothing. Its Complaint cannot
21 and does not state a misappropriation claim against Defendant Tan.

22 3. Apple Fails To Plausibly Allege Misappropriation By Defendants OpenAI
23 or io Products

24 Apple also alleges misappropriation by corporate defendants OpenAI and io Products, but
25 its scattershot allegations suffer from the same (or worse) defects.

26 **First**, Apple alleges that Messrs. Liu and Tan are the conduits of the alleged trade secret
27 information into OpenAI. As explained above, Apple has failed to allege facts that plausibly show
28 Mr. Liu or Mr. Tan accessed any trade secret improperly or without authorization. But even if it

1 had, a DTSA complaint must include factual allegations as to *OpenAI's* involvement in the alleged
2 misappropriation. Courts in this District have repeatedly dismissed DTSA claims where the
3 complaint fails to differentiate between the conduct of a corporate defendant and its employees. *See*
4 *Navigation Holdings, LLC*, 445 F. Supp. 3d at 79 (dismissing a DTSA complaint against corporate
5 defendants where the complaint improperly based its “trade secret misappropriation claims on [an
6 employee’s] conduct, without differentiating what each specific [corporate] Defendant is alleged to
7 have done”); *Farhang v. Indian Inst. of Tech., Kharagpur*, 2010 WL 2228936, at *15 (N.D. Cal.
8 June 1, 2010) (nonspecific allegation “that defendants disclosed plaintiffs’ trade secrets without
9 their express or implied consent” insufficient to avoid dismissal); *Apple Inc. v. Rivos, Inc.*, 2023 WL
10 5183034, at *8 (N.D. Cal. Aug. 11, 2023) (dismissing complaint against corporate defendant where
11 “[t]he SAC notably stops short of alleging any conduct by Rivos itself to induce the breach of Apple
12 employees’ confidentiality obligations or otherwise acquire Apple confidential information through
13 other improper means”). Apple cannot bridge that gap: in fact, it admits outright that it has “virtually
14 no visibility” into whether either individual defendant acted to benefit OpenAI or io. Compl. ¶ 54.
15 No facts show improper conduct by the corporate defendants or by Messrs. Liu and Tan on their
16 behalf, and Apple has conceded that.

17 **Second**, Apple attributes certain specific interview conduct directly to OpenAI, alleging that
18 OpenAI asked candidates to provide “‘CAD/design artifacts,’ and ‘prototypes’ from their recent
19 work at Apple,” prepare “Technical Deep Dive” presentations, and describe their “subsystem and
20 component selection,” the “tools or methodologies” they use for system integration, and “‘Vendor
21 selection and communication/collaboration with vendors’ in Apple’s prized network of partners.”
22 *Id.* ¶ 75(b). These allegations fail for the same reasons discussed above with respect to the claims
23 against Mr. Tan, including that Apple does not allege that *anyone* shared trade secret information
24 in response to these questions. They also fail for an additional reason: Apple flatly mischaracterizes
25 the document which these allegations purport to describe.¹² Contrary to Apple’s assertion that this
26 language specifically targeted Apple’s information, it is drawn from a generic pre-interview guide
27

28 ¹² *See supra* n.8.

1 sent to candidates—that nowhere mentions Apple and never requests any trade secret information.
2 Ex. C. With no allegations that OpenAI ever requested Apple’s trade secret information, and no
3 allegations that any Apple information was actually shared in response, these interview-related
4 allegations alone offer no support whatsoever for Apple’s misappropriation claim.

5 **Third**, Apple’s two supplier-related allegations are far too vague and generalized to state a
6 plausible claim for misappropriation. As to the first, Apple alleges that OpenAI had an unnamed
7 “third-party partner” perform an unidentified “multi-step metal-finishing” technique. *Id.* ¶ 80.
8 Apple does not describe the technique, does not allege when this occurred, and does not even allege
9 that OpenAI ever learned how the technique is performed or used such a technique. *Id.* ¶ 81. At
10 most, a partner’s alleged breach of its own agreement with Apple may state a claim against that
11 partner; it does not allege that OpenAI acquired, used, or disclosed an identified trade secret. And
12 while Apple pleads that the partner was “misled” into believing Apple had consented to this
13 technique, *id.*, it offers no facts in support of this conclusory claim, nor does it allege the partner
14 would have refused to perform the technique absent that belief. As to the second, Apple alleges
15 only that OpenAI “approached” another supplier and asked “targeted questions.” *Id.* ¶ 83. Apple
16 does not allege what was asked, that any answer was given, or that any information changed hands.

17 OpenAI has no need or desire for any information involving the hardware design or supply
18 chain for Apple’s products. It is seeking to make hardware that is untethered by traditional interfaces
19 such as Apple’s and is unlike any known Apple product. *Id.* ¶ 36, n.9. Apple has not pled any
20 coherent narrative of how the asserted categories of trade secret information—which the Complaint
21 asserts are unique to Apple’s products, personnel, schedules/timelines, and supply chains—have
22 any use or value to OpenAI. *See id.* ¶ 40(a) (referencing trade secret categories as Apple’s “product
23 roadmaps, milestone schedules, and development timelines” and “AI and machine learning
24 integration data developed for Apple’s hardware products”), (b) (referencing “proprietary
25 manufacturing processes, custom machinery, equipment designs,” “proprietary metal alloys, metal-
26 finishing techniques, and material specifications,” and “part tolerances, and production
27 scalability”—all of which, Apple pleads, are required by “Apple’s unique product designs”), (c)
28 (referencing “specific technical specifications, performance parameters, and design requirements

1 Apple imposes on these components”), (d) (referencing “confidential testing data, performance
2 evaluations, and trend analyses” for Apple devices), and (e) (referencing Apple’s “confidential
3 coordination and management of its complex network of suppliers, sub-suppliers, vendors, and
4 internal teams”). Yet Apple never alleges that OpenAI is building something akin to an iPhone, an
5 Apple Watch, or a MacBook, or that OpenAI’s device shares any design, tolerance, alloy, supplier,
6 or component requirement with any Apple product. A schedule for an unreleased Apple product
7 and a tolerance for an Apple housing have no application to a different company’s different device,
8 and Apple pleads no facts suggesting otherwise.

9 At bottom, Apple asks that the Court allow it to plead a violation it admits it cannot describe
10 and has no facts to support. It admits that it “lacks visibility into what’s been happening behind
11 closed doors at OpenAI,” *id.* ¶ 13; that it has “virtually no visibility” into the conduct at issue; and
12 speculates that “[d]iscovery will expose” misappropriation “on a scale many times greater” than the
13 instances it has alleged, *id.* ¶ 54. Its theory of OpenAI’s motive is that OpenAI’s “recruiting
14 practices suggest” a purpose to obtain Apple’s information. *Id.* ¶ 76. A complaint that rests on what
15 its own allegations “suggest,” and that asks for discovery to supply what pleading cannot, does not
16 cross the line from possible to plausible. *See Iqbal*, 556 U.S. at 678; *see also x.AI Corp. v. OpenAI*,
17 *Inc.*, 2026 WL 661938, at *1 (N.D. Cal. Mar. 9, 2026) (“xAI was ‘required to have completed [its]
18 investigation [of its claims] *before* filing suit, *not after*,’ and if it ‘lacked the requisite information
19 to allege [its] claims in the manner required . . . when [it] filed suit, [it] should not have sued
20 [OpenAI] in the first instance.” (alterations in original) (citation omitted)). Apple’s trade secret
21 claims must be dismissed due to its failure to adequately allege misappropriation.

22 **C. Apple Fails to Plausibly Allege Any Injury Or Ongoing Harm**

23 Apple’s Complaint is devoid of any factual allegation that plausibly shows any injury or
24 ongoing harm to Apple caused by misappropriation. *See e.g., Cooper Interconnect, Inc. v. Glenair*,
25 *Inc.*, 2015 WL 13722129, at *4 (C.D. Cal. Feb. 3, 2015) (dismissing trade secret claim against
26 former employee and his new employer when “Plaintiff [did] not provide[] facts to support an
27 inference of actual harm”). Apple does not allege that it lost a sale, a supplier, a customer, or an
28 employee it wished to keep; that any Apple product was delayed, degraded, or made more

1 expensive; or that the value of any identified secret declined by any amount.

2 Apple's own allegations and conduct likewise refute the ongoing harm it alleges. Apple
3 alleges that OpenAI did not respond to its pre-suit communications, apparently suggesting that it
4 had no choice but to file this lawsuit (five months later) to stop ongoing harm. Compl. ¶ 14. But
5 the facts are that Apple had misdirected its pre-suit communications, *e.g.*, sending correspondence
6 addressed to a Mr. Wang to OpenAI's General Counsel, Che Chang; OpenAI *did* respond and raised
7 this issue to Apple immediately; Apple's pre-suit communications never referenced the specific
8 allegations in the Complaint; and Apple represented to OpenAI that the issue was being resolved.
9 OpenAI did not learn of the allegations in the Complaint until after the lawsuit was filed. Moreover,
10 as to its allegations directed to Mr. Liu, Apple pleads that it discovered Mr. Liu's continued access
11 through its own investigation and "immediately took steps to ensure Mr. Liu's access was
12 terminated," *id.* ¶ 60, and that upon discovering the authentication vulnerability it "quickly fixed"
13 the bug, *id.* ¶ 5 n.1. By Apple's own account, then, the access it complains of was identified and
14 shut off by Apple before it filed suit. An injury that Apple alleges it has already cured is not a
15 plausible basis for the damages or the injunctive relief it seeks.

16 **D. The Court Should Decline to Exercise Supplemental Jurisdiction Over Apple's**
17 **State Law Claims**

18 Apple's state-law breach of contract claims against Defendants Liu and Tan (its Fifth And
19 Sixth Claims) should also be dismissed. Without Apple's federal counts, these claims lack an
20 independent basis for jurisdiction, as there is no diversity of citizenship between the parties. *See*
21 Compl. ¶¶ 16-18, 25, 27. The Court should therefore decline to exercise supplemental jurisdiction
22 over them. *See Patino v. Franklin Credit Mgmt. Corp.*, 2017 WL 635316, at *5 (N.D. Cal. Feb. 16,
23 2017) (dismissing state law claims where the plaintiff had failed to adequately plead a federal claim).

24 **V. CONCLUSION**

25 For the foregoing reasons, Defendants respectfully request that the Court dismiss Apple's
26 Complaint with prejudice.
27
28

1 DATED: August 5, 2026

By /s/ Andrew H. Schapiro

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ATTESTATION

I, Andrew H. Schapiro, am the ECF user whose ID and password are being used to file the above document. In compliance with Local Rule 5-1(i)(3), I hereby attest that Kate E. Lazarus has concurred in the filing of the above document.

By /s/ Andrew H. Schapiro
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